Sycamore Square — Legal and Regulatory Findings

Oct 18, 2026 ·

Flood exposure and unconfirmed zoning permissions are the two issues that decide whether the planned redevelopment works at Sycamore Square (1699–1735 Sycamore View Rd and 5800 / 5810 Summer Ave, Memphis, TN 38134). Most of the building sits in a FEMA 100-year flood zone. No source has yet confirmed that event halls, fuel sales or supervised childcare are allowed under the site's CMU-3 zoning. Everything below comes from public records and desk research. It is not legal advice and needs confirmation by counsel, a surveyor and the City of Memphis before closing.

What stands out

1. **The frontage used to be an oil-change shop.**
   - County survey data from a 2017 aerial flight records a 2,086 SF building on the 1717 Sycamore View frontage, coded "mini lube" and built in 1981.
   - Current aerial imagery shows no roof, so it has been demolished; a bare or debris-covered pad remains.
   - Quick-lube shops typically had used-oil tanks, service pits and hydraulic lifts, all common sources of soil and groundwater contamination.
   - The pad sits where the preferred fuel canopy would go.
   - A Phase I Environmental Site Assessment, done to the federal "all appropriate inquiries" standard before closing, is what generally preserves a buyer's defenses against inheriting cleanup liability. Counsel should confirm the scope.
2. **Three-quarters of the building sits in the 100-year floodplain.** A renovation reaching 50% of the building's value forces the whole building up to flood code. A single surveyor's elevation certificate could instead show the building is high enough to be removed from the flood zone.
3. **The broker's boundary does not match the records.**
   - The four recorded parcels, frontage included, add up to 11.88 acres, not the 11.72 advertised.
   - The broker's straight line takes in about 1,089 SF of the neighboring 5828 Summer parcel. The site plans do not use it: they follow the recorded parcel lines.

    - The frontage is a separate parcel. The contract must name all four parcels in full.
4. **The building's call-center past may cut conversion costs.** The 1997 build-out plans show an existing sprinkler riser room and a 1-hour fire-rated wall dividing the building in half. Both are useful for separating tenants and for the code upgrades an event-hall conversion triggers.
5. **Memphis is rewriting its zoning code.** A 2025/2026 update to the Unified Development Code is in progress. Use permissions and parking rules could change during the deal, so the zoning letter should be requested under the current code and the update tracked.
6. **Summer Avenue is a federal highway (US-70).** The state, not just the city, controls driveway changes on that side.

Confirmed from public records

These findings come from Shelby County / City of Memphis GIS records and the broker's offering memorandum. Each still needs certification by a surveyor or the city.

Topic	Finding	Why it matters
Zoning	All three acquisition parcels are zoned CMU-3 (commercial mixed use). Land to the west, behind the building, is zoned residential or agricultural (CA, CMU-2 with single-family use, R-6 / R-8).	CMU-3 is broad, but use permissions are not yet confirmed (see open questions). The residential edge usually brings landscape buffer or screening duties along the rear.
Flood zone	About 74% of the building footprint and about 4.0 acres of the site lie in FEMA Zone AE, the 100-year floodplain, on FIRM panel 47157C0311G. The county property record also lists flood zone AE.	Lenders making federally backed loans require flood insurance on buildings in this zone. The city layer is a copy; the current effective FEMA map must be confirmed.

Topic	Finding	Why it matters
The 50% rule	Under the National Flood Insurance Program, a building whose improvement cost reaches 50% of its market value is "substantially improved" and must then comply with current flood rules. The value counted is the structure only, not the land.	A full conversion to event halls will very likely cross 50%. The whole building would then have to be elevated or flood-proofed, which can dominate the budget. The flood elevation for this site was not found in the published data.
Possible way out	If a surveyor's elevation certificate shows the building's lowest adjacent ground is above the flood elevation, FEMA can issue a Letter of Map Amendment (LOMA) removing the building from the flood zone.	This is the cheapest and fastest test in the whole diligence list. It is worth doing first.
Parcels and acreage	The deal covers three tax parcels: 088066 00027 (9.69 ac, main building), 088066 00020 (5800 Summer, 1.33 ac) and 088066 00021 (5810 Summer, 0.47 ac). Together they total 11.50 ac. With the 0.38 ac frontage (088066 00024) the four recorded parcels total 11.88 ac; the broker states 11.72 ac.	The 0.16 ac difference must be reconciled by survey before price and lender appraisal are settled.
Frontage parcel	The frontage strip at 1717 Sycamore View is a separate record, 088066 00024 (0.38 ac). The broker's straight boundary line overlaps about 1,089 SF of the adjoining 5828 Summer record, so the site plans follow the recorded lines instead.	The contract and legal description must name the frontage explicitly. The overlap with the neighbor's record must be resolved by survey and title.

Topic	Finding	Why it matters
Former quick-lube	County planimetric data (2017 flight) records a 2,086 SF "mini lube" building on the 1717 frontage, built in 1981. Current aerial imagery shows no roof.	Former oil-change sites can carry buried tanks, waste oil or soil contamination. A Phase I Environmental Site Assessment should cover this pad before closing.

Found but not yet verified

These points come from desk research and general rules. Each needs confirmation from title, the state or the city.

- **Selling the pads separately.** 5800 and 5810 Summer have their own tax parcel numbers, but that alone does not prove they can be sold or financed separately. Recorded plats, title and any reciprocal access and parking agreements decide that.
- **Access and parking agreements.** Shared driveways and parking with the adjoining retail parcels are likely governed by recorded easements or a reciprocal easement agreement (REA). They transfer with title and can limit how lots and drives are reconfigured.
- **Fuel station rules.** Underground fuel tanks in Tennessee fall under the TDEC Division of Underground Storage Tanks: notice before installation, leak detection, spill and overfill protection, and proof of financial responsibility. A ground lease to a fuel operator does not automatically remove environmental exposure from the landowner; the lease must allocate it.
- **State highway access.** Summer Avenue is US-70, a state route. A new or changed driveway there likely needs a Tennessee Department of Transportation permit.
- **Change of building use.** Converting a former office and call center to wedding and event halls is a change to an assembly occupancy. That triggers current fire exit, sprinkler, fire alarm, restroom-count and accessibility (ADA) requirements. The 1997 tenant plans show an existing sprinkler riser room and a 1-hour fire-rated wall, which can help.
- **Broker fee.** The listing screenshot shows a 3% transaction fee with a $20,000 minimum and $300,000 maximum. Whether it applies to this negotiated purchase is unknown.

Open questions no source has answered yet

The largest legal unknown is whether the planned uses are allowed in CMU-3, and under what conditions. The full Memphis and Shelby County Unified Development Code could not be retrieved during research. A 2025–26 code update is in progress, and its drafts are not adopted law.

Question	What settles it
Are event / banquet halls, indoor recreation, supervised childcare and fuel sales permitted by right in CMU-3, or do any need a special use permit? Are there setbacks from the residential edge?	A written zoning verification letter from Memphis Division of Planning and Development, covering each parcel and use.
Does supervised care of wedding guests' children require a Tennessee Department of Human Services child care license? Do exemptions apply when parents remain on site?	A written determination from Tennessee DHS for the actual operating model.
Can the public play center run women-only or family-only hours? (Private event bookings that separate men and women are the client's choice.)	Counsel's review of state and local public-accommodation law.
What parking minimums apply to each use, and are shared-parking reductions available?	UDC parking section, confirmed in the zoning letter. A surveyed stall count is also needed: the broker's 909 spaces have not been verified.
What is the base flood elevation, and does local floodplain law count improvements cumulatively over several years?	Elevation certificate, plus a meeting with the Memphis floodplain administrator.

Contract contingencies

The purchase contract should carry a due-diligence period long enough to complete the items below, with the right to exit if they fail. The flood and zoning results decide whether the redevelopment plan works at all, so start them first.

- [ ] ALTA / boundary and topographic survey, reconciling the 11.88 acres of record against the 11.72 advertised, and the frontage boundary
- [ ] Title commitment, deeds, recorded plats, easements and any reciprocal access and parking agreements
- [ ] FEMA elevation certificate and current effective flood map, with a LOMA if the building sits above flood elevation
- [ ] Floodplain administrator meeting on how substantial improvement will be measured
- [ ] Zoning verification letter for every planned use and parcel
- [ ] Phase I Environmental Site Assessment, with specific attention to the former quick-lube on the frontage
- [ ] Property condition, roof, structural and MEP assessment, including the existing sprinkler and electrical systems
- [ ] Confirmation of whether the listing's 3% transaction fee applies

Sources

- 44 CFR 59.1, NFIP definitions (eCFR). Substantial improvement is a cost equal to or above 50% of "the market value of the structure" before construction starts.
- TDEC, Installation of New Tanks. A pre-installation form is due at least 15 days before installation, plus annual fees per tank compartment.
- Develop901, Unified Development Code. The UDC is the zoning code and subdivision regulations for Memphis and unincorporated Shelby County; a 2025/2026 update is listed.
- Avison Young offering memorandum, 1735 Sycamore View Rd. Source for the parcel IDs, 11.72 ac, 127,634 SF, 909 spaces and traffic counts.
- Shelby County ReGIS portal. Parcel zoning, planimetrics (including the 1981 mini-lube record) and the published copy of the FEMA flood zones, queried 17 Oct 2026.
- Sitel Corporation tenant build-out plans, sheets A2.1 and A2.2, Jackson Bronson & Feraci (1997), supplied by the buyer. Source for the existing sprinkler room and 1-hour rated wall.
- EPA, Brownfields All Appropriate Inquiries. A Phase I done to ASTM E1527-21 within one year before acquisition (some parts within 180 days) supports the bona fide prospective purchaser and innocent landowner protections under CERCLA.